

Trading Tactics

[Table 23.10](#) shows trading tactics.

Measure rule, targets. The Results Snapshot (“Percentage meeting price target”) at the beginning of this chapter shows how often the measure rule works using the full pattern's height.

For an example, refer to [Figure 23.7](#). In both diamonds, compute the height by subtracting the lowest price in the pattern (point B) from the highest high (point A) then adding to (upward breakouts) or subtracting from (downward breakouts) the breakout price (point C). The breakout occurs the day price closes outside the diamond boundary.

Specifically, the diamond top (left diamond) shows a height of 7.62. That is, $79.25 - 71.63$, or the high minus the low. Since the breakout is downward, subtract the result from the breakout price. That gives a target of 65.88 or $73.50 - 7.62$ (the breakout price minus the height). For downward breakouts, ignore targets below zero.

The bottom portion of the table shows how often various heights work with the measure rule. For example, using half the diamond's height means price will likely reach the target more than 80% of the time. That's very good. Using tall heights (2×, 3×) in the projection means the measure rule target will be harder to hit, but if price does reach it, the profit will be better.